

# DECODED EXPLAINED

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# How organisations are reckoning with AI addiction



**John Xavier**

In December 2025, Microsoft opened the doors for thousands of its engineers to use Anthropic's Claude Code – an AI coding assistant – as part of an internal experiment to benchmark the best tools available. That test worked too well, as some employees decisively chose it over Microsoft's own AI coding assistance – GitHub Copilot CLI.

Then, by May 2026, the software giant began cancelling most of those Claude Code licences, instructing teams behind Windows, Microsoft 365, Outlook, Teams, and Surface to migrate back to Copilot CLI before June 30. That day is apparently the last day of the company's

fiscal year. While it has called this rollback a “tool-chain unification,” the financial reality, per multiple reports, suggests that engineers had used Claude Code a little too much.

This is the paradox of enterprise AI adoption in 2026. To understand this situation better, it helps to go down the memory lane on how software companies operated earlier. Before OpenAI's ChatGPT arrived in late November 2022, the dominant tools in a developer's toolkit were a code editor like VS Code, a version control system like Git, documentation wikis, Jira boards, Slack threads, and an occasional Stack Overflow lookup.

Most of these were open-source tools or flat-rate subscriptions that cost essentially nothing. An engineer could work all day without the company spending an extra rupee.



Every action an agentic tool does consumes tokens — the unit of text a language model processes. AI-GENERATED IMAGE

Then came the chatbots like ChatGPT, Claude, Gemini, Llama, and a cascade of capable successors. GitHub Copilot, which had been available since 2022, gained significant traction as models improved. By 2024, engineering teams were routinely asking AI assistants to write boilerplate, review pull requests, suggest fixes, and generate test cases. As these interactions were short and mostly conversational, the costs were modest.

But the arrival of agentic coding tools disrupted the way engineers worked as they didn't just answer queries but took a series of actions. These AI agents could read files, run tests, check for errors, revise code, read the context again, and loop through all of this autonomously. Claude Code, Cursor, and their peers work this way.

The problem comes down to what is called “token maxxing.” Every action an agentic tool does

consumes tokens – the unit of text a language model processes.

A session that starts at five thousand tokens per call can balloon to two hundred thousand tokens per call by the time the agent is fifty turns deep. As one detailed analysis documented, a developer who tracked token consumption across 42 agentic runs found that roughly 70% of tokens consumed were effectively wasted. The agent was re-reading files it had already processed, exploring dead ends, and re-verifying things it already knew. The corporate toll of this wastage is becoming public in uncomfortable ways.

An internal leaderboard that ranked teams by AI usage volume had accelerated adoption, which accelerated bills. Uber's COO, Andrew Macdonald admitted that drawing a line between rising token con-

sumption and actual consumer feature delivery was proving elusive.

Box CEO Aaron Levie has argued that the token consumption problem will eventually spread from engineering into legal, sales, and every other knowledge-work function.

Goldman Sachs, in a report, projected that global token consumption could increase 24-fold by 2030 as agentic AI becomes standard practice.

It is unclear when these perspectives will converge. But, for now, it is clear that companies are becoming thrifty when it comes to token usage.

Agentic AI tools are becoming an infrastructure cost that scales with every autonomous decision an agent makes. And organisations that do not implement usage controls, token budgets, and honest ROI benchmarks are not adopting AI, but are funding it.



# Right of accused to travel abroad can't be seen in isolation: SC

**Rizmi Lia M.**  
CHENNAI

The Supreme Court has held that the fundamental right to travel abroad which comes under Article 21 cannot be viewed in isolation; rather it needs to be balanced with the victim's right to speedy trial.

A Division Bench comprising Justices Dipankar Datta and Satish Chandra Sharma set aside the Telangana High Court's order permitting a businessman, who is an accused in a criminal case, to travel to the U.S. for medical treatment.

The case arose out of a complaint lodged in 2014 about the suspicious death of the complainant's father after which an FIR was filed against the businessman and others of criminal conspiracy and abetment of suicide under the Indian Penal Code.

The trial has not commenced even after ten years. The top court held that the High Court was "indulgent" rather than judicially restrained in granting such permission.

The court noted that the accused had been filing successive petitions, securing interim protection, and withdrawing those before final adjudication, while leaving the country on a suspended look out circular without seeking the court's permission. Therefore, the accused cannot claim that the condition restraining travel amounts to an infringement of fundamental rights, it added.

In 2016, he obtained an order suspending the look out circular and left India in 2017, returning only in April 2025 when he was arrested at the Rajiv Gandhi International Airport in Hyderabad.

Now, the Supreme Court held that the High Court erred in permitting the travel. "A balance must be struck between the individual liberty of the respondent no. 2 on the one hand and the right of the appellant to a speedy trial together with the larger societal interest in ensuring the effective administration of criminal justice, on the other," the Bench said.

# SC balances child's right to know paternity, father's right to privacy

**Rizmi Lia M.**  
CHENNAI

The Supreme Court, in a ruling last week, upheld the use of DNA test in a long-running paternity dispute, addressing the complex question of whether an individual's right to privacy overrides the need to determine parentage.

Earlier, the top court had consistently held in various judgments that DNA tests should not be ordered routinely, but there has never been a conclusive answer to when they should be permitted.

Paternity cases largely revolved around the concerns of legitimacy and the need to avoid illegitimising children. However, after the Supreme Court's landmark decision of *Justice K.S. Puttaswamy v. Union of India* in 2017 which ruled that the right to privacy is a fundamental right under Article 21 of the Constitution, the court has continuously ruled that compulsory DNA testing interferes with an individual's right to privacy and bodily autonomy.



The top court had earlier consistently held in various judgments that DNA tests should not be ordered routinely. ISTOCK/GETTY IMAGES

In the present case, Justice Sanjay Karol and Justice N. Kotiswar Singh upheld the trial court order directing a DNA test to prove paternity. The alleged father and appellant approached the court to overturn the trial order.

Section 112 of the Evidence Act, 1872 (Section 116 of the Bharatiya Sakshya Adhiniyam) states that a child is presumed to be legitimate unless the party disputing paternity proves that there was non-access for the relevant period of the marriage and it is upon the alleged father to prove the non-access.

In a series of older cases, the court has pulled

back from using the DNA test to prove paternity. Especially since the above said section was enacted in 1872, when there was no scientific means to determine paternity. However, the DNA testing method became commercially available in India by the 1980s.

In 2014, the Supreme Court gave a wider interpretation in *Nandlal Wasudeo Badwaik v. Lata Nandlal Badwaik* holding that "in our opinion, when there is a conflict between a conclusive proof envisaged under law and a proof based on scientific advancement accepted by the world community to be

correct, the latter must prevail over the former".

## N.D. Tiwari case

In the same year, the N.D. Tiwari paternity row was highly publicised in which veteran politician Narayan Dutt Tiwari was compelled to take a DNA test that proved he was the biological father of Rohit Shekhar. The long-drawn-out six-year case established a significant legal precedent regarding privacy, scientific evidence, and the rights of children born out of wedlock. Though Tiwari strongly argued that his right to privacy was violated, the Delhi High Court and the Supreme Court ordered for the test.

In the present case, neither the court gave an unrestricted right to the child to demand DNA testing nor abandon the alleged father's right to privacy, but rather held that in the domain of right to privacy, it wants to balance the interests of the alleged father's privacy with that of the child's desire for closure on a question that has loomed large on his life.

# Why did SC back curbs on online gaming?

What were the two sets of appeals concerning the regulation and taxation of online gaming platforms in front of the Court? What were the main objections raised by gaming companies against the GST levy? What are the likely consequences for India's online gaming industry?

Aaratrika Bhaumik

The story so far:

The Supreme Court on May 27, 2026, delivered two rulings with major ramifications for the country's real-money gaming industry. A Bench of Justices J.B. Pardiwala and R. Mahadevan upheld the constitutional validity of the Centre's retrospective 28% GST levy on online gaming companies and, in a separate judgment, affirmed the validity of State laws prohibiting real-money gaming platforms.

What did the Court have to decide?

The judgments arose from two distinct sets of appeals concerning the regulation and taxation of online gaming platforms. The first batch related to State laws prohibiting online betting and wagering. In 2021, Tamil Nadu and Karnataka enacted legislation criminalising betting on games played in cyberspace and prescribing penalties including imprisonment. After the Madras and Karnataka High Courts struck down these enactments, the respective State governments approached the Supreme Court, arguing that betting and gambling fall within their legislative competence under Entry 34 of List II of the Seventh Schedule. They further contended that the restrictions were necessary to address addiction and other social harms associated with online betting.

The second batch concerned the applicability of the GST regime to online gaming involving money stakes. The appeals arose from decisions of the Bombay and Karnataka High Courts, which held that online gaming transactions did not constitute actions, the claims under the GST law and consequently quashed tax proceedings

The Court held that, for GST purposes, the distinction between games of skill and games of chance becomes irrelevant once money is staked on an uncertain outcome

initiated against gaming companies. The Union government thereafter challenged these rulings before the Supreme Court.

Why was the GST levy upheld?

The dispute over the GST liability of online gaming platforms stemmed from amendments approved by the GST Council in August 2023. The Council clarified that all online games involving bets or wagers, irrespective of whether they were predominantly games of skill or games of chance, would attract GST at 28% on the full value of the amount staked by players.

Following the Council's decision, the Directorate General of GST Intelligence (DGGI) issued a series of tax demand notices to gaming companies. The notices sought to levy GST not only under the amended regime, which came into force on October 1, 2023, but also on revenues earned during the pre-amendment period, resulting in tax demands running into several lakh crore rupees.

Challenging these demands, gaming companies argued that GST could be levied only on the consideration retained by the platform and not on the entire value of bets or contest entry fees contributed by users. Taxing the full face value of stakes, they contended, was commercially untenable and failed to account for the long-recognised distinction between games of skill and games of chance.

Rejecting these arguments, the Supreme Court held that online gaming platforms involving money stakes were distinct from conventional skill-based competitions. While participants in a skill-based contest merely pay an entry fee to compete, the Court observed that online gaming platforms are structured around wagering and often encourage repeated participation through discounts and bonuses.

The Court further held that, for GST purposes, the distinction between games of skill and games of chance becomes irrelevant once money is staked on an uncertain outcome. Referring to the Central Goods and Services Tax Act, 2017 (CGST Act), which expressly includes actionable claims relating to lottery, betting, and gambling within the tax net, the Court concluded that Parliament was competent to levy GST on online gaming involving money stakes. It also rejected the industry's contention that the 2023 amendments imposed a fresh levy. Instead, the Court held that the amendments merely "clarified and standardised" the existing legal framework governing the taxation of such activities and were therefore capable of operating retrospectively.

Why did the Court uphold State curbs on real-money gaming?

At the outset, the Court observed that "betting"

and "gambling" are res extra commercium (activities outside legitimate commerce) and therefore fall outside the protection ordinarily available to trade and business activities. It held that while games of skill may be constitutionally protected, the introduction of money stakes imparts the character of wagering to the activity, bringing it within the States' legislative competence.

The Bench was also not persuaded by the contention that fantasy sports are predominantly skill-based. It noted that even sophisticated predictive models are unable to forecast sporting outcomes with certainty.

The Court further observed that the widespread availability of smartphones and digital payment gateways had effectively turned every mobile phone into a virtual "gambling house". It held that State governments are competent to impose reasonable restrictions on such activities and could draw legislative support not only from Entry 34 of List II relating to betting and gambling but also from Entry 1 concerning public order.

What are the implications?

The judgments come at a time when the industry is already grappling with the fallout of the Promotion and Regulation of Online Gaming Act, 2025 (2025 Act). The legislation prohibited all forms of online real-money gaming, with the government citing national security concerns, including the alleged use of digital wallets and cryptocurrencies for money laundering and illicit fund transfers. It, however, carved out exceptions for e-sports, educational games, and social gaming.

Sudipta Bhattacharjee, Partner at Khaitan & Co, who has represented several online gaming and casino companies before the Supreme Court, told *The Hindu* that the industry had effectively come to a standstill following the enactment of the 2025 law, which could make recovery of the tax demands difficult. "The GST ruling may not translate into any meaningful recovery for the authorities. Many companies have either shifted their operations outside India or pivoted to sectors such as social gaming and fintech. The GST demands are several times higher than the revenues these companies have ever earned and are simply beyond their ability to pay. We are also likely to see a spate of insolvency proceedings," he said.

Mr. Bhattacharjee also pointed out that the verdict could have implications for the challenge to the 2025 law on the ground that Parliament lacked the legislative competence to enact it.

"The apex court has clearly held that betting and gambling are State subjects under Entry 34 and upheld State laws regulating such activities. We will now have to wait and see how the Union government defends its position that it has the legislative competence to enact the 2025 law under Entry 52 of the Union List, which permits regulation of industries where such intervention is considered expedient in the public interest," he said.



Supreme Court of India.



# Scientists rule out worst-case climate scenario, with caution

The doomsday climate scenario is now unrealistic due to slower emissions growth; however, the decline is still not nearly enough to limit global warming to the most optimistic scenario

Neelima Vallangi

**C**limate scientists have released a new set of global emission scenarios that will serve as the basis for climate research over the coming years. And here, the worst-case scenario that put the world on track to experience warming well above 4°C by the end of the century has finally been retired.

Called RCP8.5, the high-emission scenario was deemed implausible in the latest revision thanks to the rapid adoption of renewable energy and countries implementing climate policies.

Scientists say climate action eliminating the 'doomsday scenario' is encouraging because that means the extreme consequences associated with 4° to 5° C of warming can now be avoided.

However, they warned, the planet is still on track to experience drastic climate change under current policies.

After months of experiments and collaboration across dozens of research centres worldwide, a team of earth system modelling experts published seven new emissions scenarios in April. In this set, the new highest emission scenario projects an overall warming of around 3.5° C by 2100.

RCP8.5 is out "mainly because of the rapid transition to renewable energy in several countries around the globe, particularly China, which is number one in terms of carbon

## Not business as usual

The new highest emission scenario projects an overall warming of around 3.5° C by 2100

- Scientists have retired the extreme RCP8.5 climate scenario because global warming above 4° C now seems implausible
- The revision comes thanks to countries adopting renewable sources of energy and implementing climate policies
- Even so, current global policies place the world on a 'medium pathway' towards roughly 2.8° C of warming by 2100
- Keeping global surface temperature rise below 1.5° C also appears impossible without a significant period of temporary overshoot
- Even a moderate global warming level of 2° C still poses severe risks for extreme weather and global food security
- New research integrates updated data to refine climate models while accounting for remaining uncertainties about planetary sensitivity



**Making a difference:** Emissions have peaked and are declining in the U.S. and Europe, and are plateauing in China. RABBI SHASHA

emissions today," Govindasamy Bala, professor at the Center for Atmospheric and Oceanic Sciences, Indian Institute of Science, who was also part of the latest scenario development, said. "Emissions have peaked and are declining in the U.S. and Europe, and are plateauing in China."

At the same time, there remains no plausible path to keep warming below 1.5° C without significant overshoot under the current emissions trajectory. Overshoot means temporarily exceeding the 1.5° C of warming threshold before returning to the limit by 2100.

"While that original high emissions path has become irrelevant, getting to the low emission levels consistent with preventing dangerous climate change has also become much

more difficult to achieve," Detlef van Vuuren, a climate scientist at the PBL Netherlands Environmental Assessment Agency who has led emissions scenario development for many years, said.

In 2011, when RCP8.5 emerged as one of the four 'Representative Concentration Pathways' scientists introduced, its drastic prognoses for the world took on a life of their own. For scenario developers, it denoted the world in which governments enacted no climate policy; but many climate modellers used RCP8.5 as the "business as usual" scenario. However, scientists had intended it only as an edge case: to model earth systems under unabated fossil fuel expansion and high population growth.

In 2016, scientists upgraded the RCPs to SSPs, or

'Shared Socioeconomic Pathways', which integrated factors such as economic growth and population expansion alongside greenhouse gas concentrations. RCP8.5 then became SSP5-8.5, with a projected warming of 4.4° C by 2100. Many scientists said the new revision demonstrates the usual process of doing climate research: by constantly integrating new information and eliminating unrealistic scenarios.

That said, the world has not averted the worst of climate change. A recent study in *Nature* reported that even moderate global warming of 2° C will increase the risk of extreme outcomes such as droughts in key breadbasket regions, extreme rainfall over highly populated areas, and fire weather extremes across forests. The world is close to the medium path-

way in the new CMIP7 scenarios: facing an expected warming of up to 2.8° C by 2100.

"The new scenarios can shed light on what to expect but do not radically change the fact that India is highly exposed to extreme events, in all scenarios, because they take us into dangerous 2° C and beyond-2° C territory," Chandni Singh, climate adaptation researcher at the Indian Institute for Human Settlements and an IPCC Lead Author, said.

RCP8.5 assumed that the concentration of carbon dioxide in the atmosphere would triple (to 850-900 ppm) due to increasing coal use and that the world's population would swell beyond 10 billion. Both these possibilities have since become unrealistic.

That said, "if the climate turns out to be much more sensitive to CO<sub>2</sub> concentration, then we could end up with warming levels associated with RCP8.5," Dr. van Vuuren said. "Secondly, it is still possible to hit those warming levels if we are on the high emission pathway, but around the year 2150."

There is already some evidence that we may be underestimated climate sensitivity, as scientists have been baffled by accelerating global warming in the last three years. They hope to resolve this uncertainty as climate models simulate earth systems in these new scenarios with new data.

Neelima Vallangi is an independent climate journalist

# Kaziranga National Park records 30 raptor and six stork species in a rapid bird survey

The Hindu Bureau  
GUWAHATI

The Kaziranga National Park and Tiger Reserve in Assam has 30 species of raptors and six species of storks, a rapid survey focused on these two categories of birds has revealed.

The survey, conducted by a 10-member team between the last week of February and March 2, was released on Friday (June 5) to mark World Environment Day. The Kaziranga Tiger Reserve authority surveyed in collaboration with researchers of Gauhati University.

The enumerators recorded 217 individual raptors – buzzards, eagles, falcons, owls, and vultures – across 30 species and 266



A black-necked stork spotted at Kaziranga National Park in Assam.

SPECIAL ARRANGEMENT

individual storks across six species.

## Critical habitats

India is home to 112 species of raptors, both diurnal and nocturnal. Kaziranga and the adjoining landscape harbour about 50 species of these raptors.

Assam's rich, diverse wetlands and the Himalayan foothills provide critical habitats for these birds of prey.

India houses eight of the 20 stork species found in tropical and subtropical regions worldwide. All eight of these are found in As-

sam, although Kaziranga has recorded six.

The raptor-stork study was conducted across Kaziranga's three administrative zones – the East Assam Wildlife Division, the Biswanath Wildlife Division, and the Nagaon Wildlife Division.

The Eastern Assam Wildlife Division recorded 21 species of raptors and five species of storks. While Biswanath recorded 20 species of raptors and six species of storks, Nagaon recorded 14 and five, respectively.

Among the stork species, the Asian openbill (*Anastomus oscitans*) was the most abundant, with 92 individuals spotted. The greater adjutant stork (*Leptoptilos dubius*) was the

rarest, with three individuals recorded. Among the raptors, the Himalayan griffon vulture (*Gyps himalayensis*) was the most common with 69 individual sightings, while the booted eagle and white-tailed eagle were the rarest species with one individual sighting each.

"Kaziranga's landscape also serves as a last stronghold for the enigmatic Pallas's fish eagle (*Haliaeetus leucorhynchus*). A survey conducted by the Wildlife Institute of India in January 2020 reported 10 active nests of Pallas's fish eagle in Kaziranga, making it the protected area with the highest number of [this bird's] breeding sites in the world," an official statement read.

# Bursts of rain may deal a double whammy to soil moisture, nitrogen

**Vasudevan Mukunth**

Two new studies, published in *Nature* and *Nature Geoscience*, have found that as climate change concentrates rainfall into fewer, more intense events, the land below may face a double whammy. In their May 13 paper in *Nature*, Dartmouth College, U.S., researchers concluded that more concentrated rain can reduce the amount of water stored in soils and

aquifers across all global climates. This is because heavy bursts of rain can exceed the soil's infiltration capacity, leading to an "infiltration excess" where water pools on the surface.

Because these intense events are typically separated by longer dry intervals, the pooled water evaporates instead of recharging deep soil layers. Their work suggests that the drying effect of precipitation concentration is roughly equal in magni-

tude to the wetting effect of increasing total annual rainfall, effectively neutralising potential gains in the availability of water in many regions.

In their May 25 paper in *Nature Geoscience*, researchers from across China reported a specific rainfall threshold of around 700 mm/year that seemed to determine how soil retains nitrogen. Below this threshold, the soil generally retains nitrogen because a limited amount of water

restricts the movement of nutrients and encourages competition between plants and microbes. But above 700 mm, more moisture encourages leaching, leading to significant nitrogen loss.

These studies together suggest concentrated rainfall could blur the distinction between wetter and drier rainfall regimes. If a region receives 600 mm of rain in concentrated bursts rather than in steady intervals, the downpours could

wash more nitrogen out of the soils than the annual rainfall total alone would suggest.

According to the *Nature* study, 27% of the world's population will face abnormally dry conditions due to concentrated rainfall alone even if total rainfall doesn't decrease. A growing body of research suggests the southwest monsoon is itself becoming more episodic, with more seasonal rainfall falling in intense downpours sepa-

rated by longer dry intervals.

This, together with the *Nature Geoscience* study's findings, suggests annual total rainfall alone may no longer capture how ecosystems respond to changing rainfall patterns.

Intense rainfall events can wash away nitrogen, a nutrient crucial for plant growth, before it can be used, while the subsequent dry period can quicken water loss by evaporation.

# Thank you

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**“The price of success is daily effort”**



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